

[Home](#) > [My Courses](#) > [Financial Markets](#) > [M7: Integrating Ethics with Financial Challenges](#) >
FM Graded Quiz M7

FM Graded Quiz M7



Time left:
59:52

Question 1

Which of the following best describes the concept of duration in bond valuation?

- ☐ The yield to maturity of a bond
- ☐ The coupon rate of a bond
- ☐ The time until a bond matures
- ☐ A measure of a bond's price sensitivity to changes in interest rates

QUESTIONS

X	X	X	X
X	X	X	X
X	X	X	X
X	X	X	X

Question 2

How does the ethical principle of "caveat emptor" relate to the fiduciary responsibility of financial professionals?

- ☐ It contradicts the concept of fiduciary responsibility
- ☐ It only applies to non-professional investors
- ☐ It highlights the tension between client trust and personal responsibility
- ☐ It absolves financial professionals of responsibility for client outcomes

Question 3

A portfolio consists of two stocks with standard deviations of 20% and 30% respectively. If the correlation between the stocks is -1 and they are equally weighted, what is the portfolio's standard deviation?

- ☐ 50%
- ☐ 5%
- ☐ 10%
- ☐ 25%

Question 4

How would you apply the concept of stochastic volatility in option pricing models?

- ☐ By modeling volatility as a random process that changes over time
- ☐ By using only historical volatility data
- ☐ By assuming volatility is constant over time
- ☐ By ignoring volatility altogether in the pricing model

Question 5

What is the primary difference between exchange-traded and over-the-counter (OTC) markets in terms of liquidity risk?

- ☐ Liquidity risk is identical in both market types
- ☐ OTC markets always have higher liquidity than exchanges
- ☐ OTC markets generally have higher liquidity risk due to less standardization and transparency
- ☐ Exchange-traded markets have no liquidity risk

Question 6

For a bond that has yield to maturity at 7% and Δ -duration is -320, what is the absolute gain (loss) when the yield to maturity increases by 0.1%.

- ☐ Absolute loss by 32
- ☐ Absolute gain by 32
- ☐ Absolute loss by 0.32
- ☐ Absolute gain by 0.32

Question 7

A trader uses 3:1 leverage to invest in a stock currently priced at \$80 per share. If the stock price decreases by 5% what is the trader's percentage loss on their initial investment?

- ☐ 10%
- ☐ 5%
- ☐ 15%
- ☐ 20%

Question 8

Which of the following best describes the concept of convexity in bond valuation?

- ☐ The difference between a bond's market price and its par value
- ☐ A measure of the curvature of the relationship between bond price and yield
- ☐ A measure of a bond's interest rate risk

- ☐ The rate at which a bond's duration changes as yield changes

Question 9

Why is the "newspaper test" considered an effective ethical guideline in business?

- ☐ It maximizes profitability by avoiding negative publicity
- ☐ It ensures compliance with all legal requirements
- ☐ It forces consideration of public perception and personal comfort with decisions
- ☐ It prevents all forms of unethical behavior in business

Question 10

How would you apply the concept of semi-deviation in portfolio risk management?

- ☐ By focusing only on positive returns above a threshold
- ☐ By calculating the average of all returns
- ☐ By ignoring all returns below the risk-free rate
- ☐ By measuring the volatility of negative returns below a specified threshold

Question 11

What role does market making play in providing liquidity to financial markets?

- ☐ Market making is only relevant for high-frequency trading
- ☐ Market making reduces overall market liquidity
- ☐ Market makers only operate in commodity markets
- ☐ Market makers provide continuous bid and ask prices facilitating trade execution

Question 12

A bond with a maturity of 5 years, a coupon rate of 4% and a yield to maturity of 3% has a modified duration of 4.5. If the yield to maturity increases by 0.2% what is the approximate percentage change in the bond's price?

- ☐ 0.90%
- ☐ -0.90%
- ☐ 0.09%
- ☐ 1.80%

Question 13

What is the primary challenge in using historical volatility for option pricing?

- ☐ Historical volatility is always higher than implied volatility
- ☐ Historical volatility may not accurately reflect future market conditions
- ☐ Historical volatility is constant over time
- ☐ Historical volatility is always lower than implied volatility

Question 14

How does the concept of "default correlation" apply to plagiarism?

- ☐ A student who plagiarizes once is likely to do it again
- ☐ Plagiarism rates increase during economic downturns
- ☐ Different types of plagiarism are related to each other
- ☐ The likelihood of plagiarism decreases over time

Question 15

Analyze the implications of using Pearson correlation versus Spearman correlation in assessing the relationship between two financial variables.

- ☐ The choice between Pearson and Spearman has no impact on financial analysis

- ☐ Pearson measures linear relationships while Spearman captures monotonic relationships, potentially leading to different interpretations
- ☐ Spearman correlation is always preferable to Pearson correlation
- ☐ Pearson and Spearman correlations always yield the same results

Question 16

What is the significance of the "free option" problem in the context of systemically important financial institutions?

- ☐ It refers to the ability of banks to create money through lending
- ☐ It describes a strategy to hedge all market risks at no cost
- ☐ It refers to options traded without fees
- ☐ It describes the implicit government guarantee that may encourage excessive risk-taking

SUBMIT